

Absa Bank Kenya: FY'21 Earnings Note

Absa Group's FY'21 EPS edged up 159.74% to **KES 2.00**, higher than our expectations. PAT was up 161.17% y/y to **KES 10.87Bn** driven by a 6.95% y/y increase in Total Operating Income to **KES 36.92Bn** supported by interest income from loans. Customer deposits growth (+5.95% y/y to **KES 268.72Bn**) was driven by cheaper mobilization while the loan book grew marginally faster (+12.15% y/y to **KES 234.23Bn)** owing to a reduced lending risk environment. Notably, the exceptional items reduced 100% as an indication of the completion of the transition from the Barclays brand.

- **Net Interest Income grows faster than Non Funded Income:** The Net-interest income growth of 8.02% was in line with our expectations having grown to **KES 25.26Bn** mainly driven by income from loans and reduced placements expenses. Reduction in Yield from assets and cost of funds led to compressed margins with the Net Interest Margin (NIM) remaining flat at 7.11%. Non-funded income grew 4.71% to **KES 11.66Bn** driven by increased digital transactions and revenues from financial markets. Therefore, the revenue mix shifted to 68:32 for NII:NFI from 67:33 in FY'20, with a future target of 65:35.

- **Reduced expenses improve bottom line:** The increased efforts to push efficiency through investment in automation saw the banks digital transactions cross the 70.00% level and reduce the cost to income ratio to 45.13%. Absa's bottom line increase of 161.17% was attributable to a 16.75% decline in total operating expenses to **KES 21.37Bn** on the back of a 3.35% reduction in staff costs. Push for cheaper deposits saw a concurrent 15.85% decrease in interest expense to **KES 6.78Bn** faster than the 5.95% increase in customer deposits.

- **Asset quality concerns persist:** Gross NPLs increased by 15.89% y/y to **KES 19.82Bn** with the NPL ratio increased to 7.94% from 7.74% in FY'20 but remain below the current industry average of 13.10%. Consequently, the NPL Coverage improved to 77.73% from 71.09% in FY'20. We expect the asset quality of the bank to improve as 95.00% of the **KES 62.00Bn** Covid Restructured loans have been regularized.

Valuation: Despite the declaration of a KES 1.10 dividend and strong results the counter's share price increased by a marginal 0.82% to KES 12.25 from KES 12.15 the previous trading session. The counter is currently trading below market valuation (PE at 10.40x) with a PE of 6.12x and P/TB of 1.19x. However, we remain underweight on the counter given the minimal upside potential.

16th March 2022

Current price: KES 12.25

Target price: KES 13.04

Upside: 6.43%

52 Week High: KES 12.25

52 Week Low: KES 8.62

YTD Performance: 3.38%

EPS (FY'21): KES 2.00

Final DPS (FY'21): KES 1.10

ABSA 1-Year Share Price Movement



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Outlook

The earnings growth was better than our expectations mainly driven by reduced provisions. We expect product innovation, partnerships and digital channels to continue driving business operations with 90.00% of transactions happening outside the branch. Lending growth is expected to come from trade loans, overdrafts and scheme loans at the branch and digital level. However, we remain concerned about the compressed margins owing to reducing asset yields and cost of funding. Approval of risk based pricing models by CBK is expected to increase asset yields.

Table 1 : Financial Statement Summary

Income Statement	FY18	FY19	FY20	Q1'21	H1'21	Q3'21	FY21
Net Interest Income	21,992	23,179	23,381	5,964	11,995	18,576	25,256,912
Net non-Interest Income	9,702	10,588	11,140	2,852	5,845	8,738	11,665
Total Operating income	31,694	33,767	34,522	8,816	17,840	27,314	36,921
Provision for Impairment	(3,871)	(4,201)	(9,027)	(1,394)	(1,942)	(3,403)	(4,709)
Total Operating expenses	(21,049)	(21,486)	(25,673)	(5,408)	(9,895)	(15,450)	(21,372)
Profit before tax	10,646	12,281	5,646	3,408	7,945	11,864	15,549
Profit after tax	7,416	7,456	4,162	2,420	5,572	8,237	10,870
Core EPS	1.37	1.37	0.77	0.45	1.03	1.52	2.00
DPS	1.10	1.10	-	-	-	-	1.10

Balance Sheet	FY18	FY19	FY20	Q1'21	H1'21	Q3'21	FY21
Government Securities	92,939	122,996	126,057	126,741	121,271	126,570	132.576
Loans and Advances	177,354	194,895	208,855	218,266	218,873	229,080	234.234
Total Assets	324,840	373,982	379,441	384,088	398,152	411,418	428.690
Customer Deposits	207,408	237,739	253,630	257,071	263,944	268,816	268.717
Total Liabilities	280,633	328,792	332,937	335,432	346,185	356,795	372.242
Shareholder's Funds	44,207	45,189	46,504	48,657	51,967	54,623	56.447

Key Ratios	FY20	FY21	% y/y change
Yield from interest-earning assets	9.49%	9.00%	-0.49%
Cost of funding	3.13%	2.48%	-0.65%
Net Interest Margin	7.06%	7.11%	0.05%
NPL Ratio	7.74%	7.94%	0.20%
Cost to Income Without Provisioning	48.22%	45.13%	-3.09%
Loan to Deposit Ratio	82.35%	87.17%	4.82%
Liquidity Ratio	38.70%	38.30%	-0.40%
Adjusted Core Capital/TRWA	14.80%	14.70%	-0.10%
Adjusted Total Capital/TRWA	17.60%	17.20%	-0.40%

Source: ABSA, AIB-AXYS



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